PERSONAL PORTFOLIO JOURNAL · REVIEW 02

Capital Research Review 02

Weeks 5–8: Recovering From the Drawdown Without Chasing the Market

PERIOD SNAPSHOT

PERIOD END	PERIOD HIGH	FROM THE LOW
£2,008.07	£2,025.84	~9.7%

The previous four weeks ended with the portfolio sitting around £1,860 and my decision to reduce some of the speculative exposure. These four weeks have been about finding out whether that decision actually improved the account.

The portfolio has moved from being nearly 7% below its starting value to finishing slightly above it. That recovery has obviously been positive, but the more important development has been the change in how controlled the portfolio feels. I did not recover the loss by making one enormous bet or suddenly changing the entire strategy. The improvement came gradually from several different parts of the portfolio.

That has given me more confidence in the structure, although there are still several holdings that need to prove themselves.

A Steadier Portfolio

At the end of the fifth week, the portfolio was worth approximately £1,931 against a cost base of around £1,999. The account was still down, but it felt considerably healthier than it had when it was sitting around £1,860.

The biggest difference was that the weakness had become more concentrated. The entire portfolio no longer felt as though it was falling apart at once. IonQ, Symbotic and Airbnb remained among the weakest positions, while Meta, Realty Income and NextEra Energy helped provide more stability.

This was exactly why I had included different types of holdings in the first place. Realty Income and NextEra were never expected to produce the most exciting returns in the account. Their purpose was to reduce the portfolio's dependence on technology and speculative growth companies.

The improvement also made me think more carefully about the difference between a bad short-term result and a bad investment process. The portfolio was still below its starting value, but the structure was better than it had been before the rebalance. I had reduced some of the unnecessary volatility while keeping exposure to the ideas I still believed in.

That did not mean IonQ and Symbotic deserved unlimited patience. I still needed to judge whether the businesses were developing in the way I originally expected. Being a long-term investor cannot become an excuse for refusing to admit when an idea is not working. However, there was no evidence that I needed to make another immediate change simply because the account remained below £2,000.

The First Signs of a Recovery

During the sixth week, the portfolio rose to approximately £1,960. It was still below the original cost base, but the movement was encouraging. After seeing the account near £1,860, a £100 recovery made the situation feel much more manageable.

Most of the portfolio improved during the week, with gold and Rheinmetall being the main exceptions. Gold continued to be frustrating. It was supposed to provide protection during uncertain markets, but it had become one of the weaker positions.

I had to adjust my expectations. Gold was not there to guarantee a positive weekly return whenever technology companies struggled. Its role was to provide a different type of long-term exposure and potentially protect the portfolio under certain conditions. That protection might become useful over years rather than days.

Rheinmetall also remained weak. The market appeared to be reconsidering some of the optimism that had already been priced into defence companies, especially as investors considered whether geopolitical tensions might begin cooling. I still believed there was a longer-term case for increased European defence spending. However, Rheinmetall reminded me that a strong theme does not automatically make a stock attractive at every price. If expectations have already moved too far, good companies can still fall.

The recovery in the rest of the portfolio showed why I had avoided panicking during the drawdown. When market conditions improved, the stronger companies began recovering without me having to constantly trade in and out of them. That does not prove holding will always be the right decision, but it showed that, in this particular situation, patience was more sensible than overreacting.

Returning Above the Starting Line

The seventh week was the strongest of the period. The portfolio reached £2,025.84, placing it £26.84 above the original cost base of approximately £1,999. That represented an overall gain of around 1.34%.

A 1.34% return is not particularly impressive on its own, but the number meant more because of what had happened beforehand. Only a few weeks earlier, the account had been down by almost 7%. Returning above the starting value showed that the drawdown had not permanently damaged the portfolio.

The recovery was also spread across several holdings. Symbotic, Meta, Alphabet, ASML, QQQA and VUAG all contributed. That was encouraging because it was not one lucky investment carrying everything else. The technology and growth section of the account was beginning to work again, while the broad-market ETFs were performing the stabilising role I wanted from them.

Symbotic was particularly interesting. It had been one of the most volatile and uncomfortable investments during the decline, but it also recovered sharply. That showed both sides of owning a higher-risk company. The same volatility that creates painful losses can produce strong recoveries, and the challenge is deciding whether the business deserves to be held through both.

I began thinking about whether it would make sense to protect some of the gain if the market became more unsettled again. However, I did not want to sell purely because the share price had risen. Selling a recovering position only makes sense if I believe the valuation has become unreasonable, the thesis has weakened or the money has a better use elsewhere. At that point, I was not convinced that any of those conditions were clearly present.

The account being above its starting value also created a different emotional challenge. During a drawdown, the temptation is to panic. During a recovery, the temptation is to become overconfident. I did not want a few strong weeks to convince me that all the previous risks had disappeared. Oil, inflation, interest rates and the geopolitical environment could still affect the account very quickly.

Holding the Recovery

The eighth week was cooler. The portfolio finished at £2,008.07, down from £2,025.84 the previous week. That was a weekly decline of £17.77, or approximately 0.88%.

Despite the decline, the account remained £9.07 above the original cost basis. More importantly, the portfolio was still approximately £170 above where it had been around a month earlier. From the low point, the account had recovered roughly 9.7%, which placed the weekly decline in perspective.

It would have been easy to become disappointed because the portfolio failed to continue rising, but markets rarely move in a straight line. A small decline after a strong recovery did not require a complete change in strategy.

Alphabet, Meta, ASML, Airbnb, Symbotic and the broad-market ETFs remained among the more supportive parts of the portfolio. Gold, Rheinmetall, Realty Income and Berkshire Hathaway were less helpful.

Alphabet was becoming one of the strongest and cleanest positions in the account. It had exposure to artificial intelligence, a highly profitable core business and a strong balance sheet. It felt increasingly different from the more speculative technology positions, and that distinction would become important when deciding how to manage the stronger holdings.

What These Four Weeks Have Taught Me

The portfolio has ended this period only slightly above where it began. If I looked only at the starting value and the current value, it might appear that very little had happened. In reality, the account fell by nearly 7%, was rebalanced and then recovered back above the starting line. That journey taught me far more than the final return suggests.

The most important lesson is that patience only works when it is supported by discipline. Holding every investment regardless of what happens is not disciplined; it is passive. The more useful version of patience involves reviewing why I own each position, controlling the size of the risk and making changes when the structure becomes unhealthy.

The speculative exposure was reduced before the recovery. That meant I still benefited when Symbotic improved, but the portfolio was not as dependent on it.

The second lesson is that I do not need to react to every weekly movement. The Week 8 decline did not undo the progress made during Weeks 5, 6 and 7. Trading simply because the account had stopped rising would probably have created more problems than it solved.

The third lesson concerns the role of defensive investments. Gold, Realty Income and NextEra have not always behaved exactly as I expected. Defensive does not mean incapable of falling. Every asset responds to its own combination of interest rates, valuation, currency movements and investor expectations. I need to understand the role of each holding without expecting it to perform perfectly under every market condition.

These four weeks have also shown me how quickly my mindset can change with the portfolio value. At £1,860, the account felt under serious pressure. At £2,025, it suddenly felt as though the recovery had worked. The difference was only approximately £165, but emotionally the situations felt completely different. I need to avoid allowing those short-term numbers to control the quality of my decisions.

At the end of Week 8, the account is slightly above its starting value. I am pleased with the recovery, but I do not consider the job finished. The portfolio still contains weak positions, the hedge has not worked perfectly, and some of the strongest companies may eventually require difficult decisions about taking profit.

For now, the most sensible decision is not to force one. The account has survived its first drawdown and recovered without me abandoning the strategy. That is a better result than the small percentage gain alone suggests.